DR LENS & DR DRIVE TRADING MANUAL

A Step-by-Step Practical Field Guide for Every Market Scenario

This guide translates 20 years of statistical Defining Range (DR) research into simple, actionable rules you can apply in the market every single day. Master and Mage designed DR Lens not as a lagging indicator, but as a real-time navigation system that defines exact price targets, entry zones, and expiration windows before the trade unfolds.

1. Core Concepts & Session Windows

Every 24-hour trading day is divided into three independent trading sessions. During the first hour of each session, the market establishes the **Defining Range (DR)** and **Implied Defining Range (IDR)**:

Session	DR Formation (NY Time)	Trading Window	Primary Instruments
ADR (Asian)	19:30 – 20:30 ET	20:30 – 02:00 ET	Gold (GC), Nikkei, AUD/JPY
ODR (London)	03:00 – 04:00 ET	04:00 – 08:30 ET	DAX, FTSE, Euro (6E), Gold
RDR (New York)	09:30 – 10:30 ET	10:30 – 16:00 ET	S&P; 500 (ES), Nasdaq (NQ), Dow (YM)

Key Level Rules:
*• **DR (Defining Range):** The highest body close and lowest body open of the 5-minute candles during the first hour.*
*• **IDR (Implied DR):** The absolute highest wick and lowest wick during the first hour.*
*• **Confirmation:** A full 5-minute candle closes completely outside the IDR (above IDR High = Long, below IDR Low = Short).*
*• **DR Rule True (81.4% Edge):** Once confirmed, price will NOT close a 5-minute candle beyond the opposite DR boundary for the rest of the session.*

2. Playbooks for Every Market Scenario

Scenario 1: Standard DR Drive Trend Continuation (The 80% Retracement Setup)

When to Use: You observe an early confirmation candle (e.g. 10:30–11:00 RDR or 04:00–04:30 ODR). Do NOT chase the breakout candle! Wait for the systematic mathematical pullback.

Step-by-Step Execution:

1. **Mark Entry Zone:** Place a limit order at **0.60x to 0.80x IDR Retracement** (or Mid-DR / 0.50x).
2. **Set Invalidation Stop:** Place stop loss exactly at the **Opposite DR level (1.00x SD)**. Since the DR Rule holds ~81.4% of the time, this level is protected.
3. **Check Retracement Time:** Expect your limit order to fill around the **First Retracement Median Time** (approx. 20–25 mins post-confirmation).
4. **Target Levels:** Take 50% profit at **0.50x SD (Low-Hanging Fruit)** and runner at **Median SD Extension (1.2x – 1.4x SD)**.

5. **Risk:Reward:** Yields an asymmetric **1 : 3.5 to 1 : 5.0 R:R**.

Scenario 2: The 'Outside DR' Session-End Setup (Retirement Setup)

When to Use: Price has confirmed and retraced deeply into IDR during the mid-session lull. Historical data shows an overwhelming **63.2% probability** (up to 65.5% on Mondays) that the session will close outside the DR during the final 15 minutes (3:45–4:00 PM ET).

Step-by-Step Execution:

1. If price is hovering near IDR Mid between 1:30 PM and 2:30 PM NY time with no opposite DR violation, enter in the confirmed direction.
2. Stop Loss: Opposite DR level.
3. Exit Rule: Hold into the final 15 minutes (3:45–4:00 PM). Close position at market on the highest close (for Long) or lowest close (for Short).

Scenario 3: The False Day Playbook (Opposite Breakout Scenario)

When to Use: In ~18.6% of sessions, price confirms one direction, but market structure fails and price closes a 5-minute candle beyond the **opposite DR boundary**. This triggers a 'False Day'.

Step-by-Step Execution:

1. **Immediately Cancel Initial Bias:** Close any remaining original positions. Invalidation has triggered.
2. **Flip to Opposite Breakout:** When a full candle closes beyond the opposite DR, historical false days exhibit rapid expansion of **2.0x to 2.5x SD** in the reverse direction.
3. **Target Tiers:** Target 1.5x SD, 2.0x SD, and 2.5x SD on the opposite side. False days are often the highest-volatility trending sessions.

Scenario 4: Time Expiration Decay (Managing Stagnant Trades)

When to Use: Price is moving slowly and has not reached your target as the clock approaches the **Max Extension Median Time** (e.g. 05:35 ET for London or 14:15 ET for New York).

Step-by-Step Execution:

1. **The Time Expiration Rule:** Once the session clock passes the Max Extension Median Time, the probability of reaching 1.2x or 1.5x SD drops drastically.
2. **Scale Back Targets:** Immediately move Take-Profit to the **0.50x SD (Low-Hanging Fruit)** or IDR boundary.
3. **Protect Capital:** Move your Stop Loss to Breakeven / Entry to eliminate downside risk.

Scenario 5: Multi-Session Momentum Confluence (ADR → ODR → RDR)

When to Use: Analyzing the daily sequence of sessions to determine whether momentum is compounding or due for mean reversion.

- **Triple Trend Confluence (ADR Long → ODR Long → RDR Long):** Occurs in ~28% of trading weeks. When both Asian and London confirm the same direction, New York has an **86%+ confirmation rate** in that same direction. Take aggressive trend entries.
- **London Reversal (ADR Long → ODR Short):** Often represents Asian liquidity sweeps. New York typically establishes the true daily expansion.

3. Quick Reference Decision Matrix

Market State	Action / Order Type	Entry Price Level	Stop Loss	Target Exit
Early Confirmed (Long)	Limit Buy	0.60x – 0.80x IDR Retrace	Opposite DR	0.5x & 1.2x SD
Early Confirmed (Short)	Limit Sell	0.60x – 0.80x IDR Retrace	Opposite DR	0.5x & 1.2x SD
Opposite DR Violated	Flip Direction	Opposite Breakout Close	Original IDR Mid	2.0x – 2.5x SD
Time > Max Ext. Time	Scale Out / Tighten	Current Market	Move to Entry	0.50x SD / Mid-DR
Late Session (3:45 PM)	Retirement Close	Pre-close 15m candle	DR Level	M15 Session Close

4. The 5 Golden Rules of DR Trading

1. **Never Enter Before Confirmation:** The Defining Range hour (9:30–10:30, 3:00–4:00, 19:30–20:30) is strictly for range building. Entering before confirmation reduces your edge from 81% to a 50/50 coin toss.
2. **Never Chase Breakout Wicks:** More than 86.9% of confirmed sessions retrace into the IDR. Patiently place your limit orders in the 0.60x–0.80x retracement zone.
3. **Respect the Clock:** Price and time are inseparable. When the clock hits your session's median extension time, do not greedily seek big runners. Bank profits at 0.50x SD.
4. **Risk 1% Maximum Per Trade:** Use the built-in Trade Calculator to size your contract count so your maximum loss never exceeds 1% of total equity.
5. **Trust the 20-Year Baseline:** Individual days have noise, but across 36,000+ sessions the math is immutable. Execute the systematic rules without emotional interference.